



Microdrama to podcasts

India's interactive media hits \$13.8 billion

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"There have been a lot of new developments over the course of the last 12 months in this market." That is how Salone Sehgal, Founder and Managing Partner of Lumikai, India's pioneering interactive media and games VC fund, opens her conversation with Digit around the firm's State of India Interactive Media Report 2025. The report puts the country's interactive media economy at \$13.8 billion, growing at 17% year on year, spanning video, gaming, social media, animation and audio. And cutting across all of it, quietly but decisively, is AI.

Microdrama phenomenon

If there is one finding that captures the imagination, it is the rise of microdramas. Sehgal describes it as one of her biggest surprises. "The emergence

of microdramas as a category, which is largely a 10-month-old industry, and the speed at which it has grown," she says, was something the team did not fully anticipate. The report shows this market went from virtually zero to \$260 million in CY25, while OTT took nearly three years to reach such numbers. Platforms like Story TV and Kuku TV are dropping four episodes a day, a velocity made possible largely by AI. The report projects this market will hit \$4.5 billion by 2030. Sehgal believes microdramas and OTT can coexist. "It's snackable content, it fills a spot in a viewer's daily life, like when a person is commuting," she says.

The RMG ban

India's ban on Real Money Gaming in August 2025 was one of the most consequential regulatory decisions

in the country's digital history. Sehgal is careful not to opine on its efficacy, but the data tells its own story. "The ban has, to some extent, redirected demand rather than eliminated it," she says. The report, using data from 100,000 smartphone users tracked by consumer insights platform VTION, found that 1 in 3 RMG players appear to have migrated to offshore betting platforms like Bet365 and 1xBet, with zero regulatory oversight. Banning a behaviour without building an alternative does not make it disappear.

Audio

If microdramas were the loudest surprise in this year's report, audio was the quietest. "We didn't actually expect audio to come out. It's a sleeper category. We didn't anticipate that," Sehgal says. The report shows audio growing at 29% to hit \$400 million in CY25, making it the fastest growing category in the entire report. What is driving it is not music streaming alone but the rise of episodic audio storytelling on platforms like Kuku FM and Pocket FM. The report shows audio series generating 1.7 times more daily time spent than music streaming at 31 minutes per day versus 18.

AI not a job killer yet.

The report shows animation studios cutting production timelines by 50% with productivity uplifts of 25%. Gaming studios are using AI for asset creation and predictive economics. But when asked whether AI is replacing human workers the way it is in global big tech, Sehgal is measured. "We don't see job losses, but we do see examples where companies have to hire less resources," she says. AI is quietly shrinking the size of future teams rather than eliminating existing ones, and that distinction matters for an industry employing 338,000 AVFX professionals alone. **[i]**

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